

Table 28.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the height of the pattern from the highest high between the two bottoms to the lowest bottom low. Add the difference to the highest high. The result is the target price. The bottom portion of the table shows how often the measure rule works.
Wait for breakout	Wait for a close above the confirmation point before taking a position.
Trade with market trend	For best results, buy in a bull market.
Check others in the industry	To avoid 5% failures, check other stocks in the same industry and buy if they are showing bottoming patterns or if their stocks are rising.
Stop location	Use Table 28.7 for help placing a stop-loss order.

Description	Bull Market
Percentage reaching half height target	89%
Percentage reaching full height target	72%
Percentage reaching 2× height	52%
Percentage reaching 3× height	38%

As a sanity check, consult [Table 28.3](#). For example, we know the height of the double bottom shown in the figure is 3.50, and let's assume the current price is the breakout price, 12.50. The height means a potential rise of 28% to the target. Let's call it a 30% rise. [Table 28.3](#) says that 55% of double bottoms will fail to see price rise that far. That also means you have a 45% chance of having the stock reach the target.

Wait for breakout. I updated a study of the frequency of unconfirmed double bottoms and found that 48% of the time, price did not confirm the pattern (price closed below the bottom of the pattern instead of breaking out upward). Price must first close above the highest peak between the two